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SOP-06: PROCUREMENT

Zarewa Aluminium and Plastics Ltd — System of Operations v3.0

Department: Procurement

System modules: /procurement, /procurement/suppliers/:id, /procurement/transport-agents/:id

Primary roles: md, Procurement Officer (desig_po, desig_hop)

Supporting roles: operations_officer (GRN), finance_manager (payment)

1. PURPOSE AND SCOPE

Procurement manages the acquisition of raw materials (coil, stone, accessories), transport haulage, and supplier relationships. At Zarewa, procurement is centralised at HQ under MD authority. This SOP covers the complete PO lifecycle from requisition through payment.

2. PROCUREMENT MODULE

Route: /procurement

Tab

Purchases

Payments

Transport catch-up

Suppliers

Conversion

3. SUPPLIER MANAGEMENT

3.1 Scope

Suppliers are **company-wide** master data — not branch-scoped. Shared across Kaduna, Yola, Maiduguri.

3.2 Registering a Supplier

1. **Procurement — Suppliers — New Supplier.**
2. Complete:
 - Legal name, trading name

- Tax ID (deduplication key)
- Phone (normalised)
- Contact persons
- Bank account details (multiple accounts supported)
- Attachments (contracts, certificates)

3. Save → supplier profile at /procurement/suppliers/:supplierId.

3.3 Transport Agents

Haulage partners managed separately at /procurement/transport-agents/:agentId.
Linked to PO transport and in-transit loads.

4. PURCHASE ORDER TYPES

Derived from line items (poLineTypes.js):

PO Kind

Coil

Accessories

Stone/flatsheet

Supplier advance

Mixed

5. PO LIFECYCLE

5.1 Status Flow

Draft → Pending → Approved → On loading → In Transit → Received
 ↘ Rejected

Status

Pending

Approved

On loading

In Transit

Received

5.2 Creating a Purchase Order

1. **Procurement → Purchases → New PO.**
2. Select **supplier**.
3. Select PO type modal: **Coil / Stone / Accessory**.
4. Add lines:

- **Coil:** gauge, colour, kg, price per kg, expected coil specs
 - **Stone:** sheets, m², product type
 - **Accessory:** SKU, quantity, unit price
5. Enter transport fields: agent, haulage cost, expected delivery date.
 6. Save → PO-KD-26-NNNN (branch code of creating workspace).
 7. Status: Pending (or Approved if creator has authority).

5.3 PO Approval

- MD approves major coil POs (default policy)
- BM may approve within local limits if configured
- Rejected POs cannot proceed to loading

5.4 Transport and In-Transit

1. Assign **transport agent** on approved PO.
2. Update status → **On loading** when loading commences.
3. Post **haulage payment** (optional) → may advance to **In Transit**.
4. syncPurchaseOrderTransportPaymentState links treasury payment to status.
5. Create **In-Transit Load** (IT-KD-26-NNNN) for tracking.

5.5 Goods Receipt (Handoff to Operations)

When goods arrive at branch — **Operations posts GRN** (SOP-04 §3): - PO status → **Received** when all lines fully received - Short receipt: tolerance check; above tolerance → MD work item (procurementWorkItems.js)

6. SUPPLIER PAYMENT

6.1 Procedure

1. **Procurement** → **Payments** tab (or Finance desk).
2. Select PO / payable line.
3. Verify three-way match readiness: ordered, received, due.
4. Finance posts **supplier payment**:
 - Links to PO and treasury account
 - Updates accounts_payable and supplier_paid_ngn
5. AP2: payment clears AP liability created at GRN.

6.2 Supplier Advances (AP2)

Pre-payment before goods receipt: 1. Record advance on PO 2. Tracked as supplier advance under AP2 3. On GRN: advance applied against payable 4. Diagnostics: Accounting desk → AP2 → unmatched advances

7. MATERIAL REQUESTS

Internal branch-to-branch or store requests:

1. Create **Material Request** (MREQ-XX-YY-NNNN) from Office or Operations
 2. Approve and fulfil
 3. Stock movements; optional inter-branch treasury entries
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8. CONVERSION STANDARDS

Procurement – **Conversion** tab:

- Coil density (kg/m) per gauge — used for conversion variance calculation
- Price list administration (also /price-list)
- Material pricing workbook floors

Changes affect production conversion checks — coordinate with Production Manager before updating.

9. PROCUREMENT DASHBOARD

/api/procurement/dashboard/*: - Open POs by status - In-transit loads - Supplier payable aging - Short receipt alerts

10. CONTROLS

Control	Detail
MD notification	Coil short receipt above tolerance
Company-wide suppliers	Single supplier record prevents duplicate payments
PO edit after Received	Requires Edit Approval
Transport payment sync	Status auto-updates on haulage treasury post
AP2 liability	GRN creates AP; payment clears — not payment-created liability

11. MONTH-END PROCUREMENT CHECKLIST

- ☐ All received goods GRN'd
- ☐ In-transit loads reconciled
- ☐ Supplier payables match GRN register
- ☐ Unmatched advances investigated (AP2 diagnostics)

- ☐ Open POs documented (on order vs in transit)
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End of SOP-06. Cross-references: SOP-04 (GRN), SOP-03 (AP2 payables), SOP-08 (MD approvals).